

HOW ZOMATO & SWIGGY QUIETLY MONETIZED CONVENIENCE

HOW A ₹2 FEE BECAME A ₹2,000+ CR REVENUE
ENGINE IN A DUOPOLY MARKET

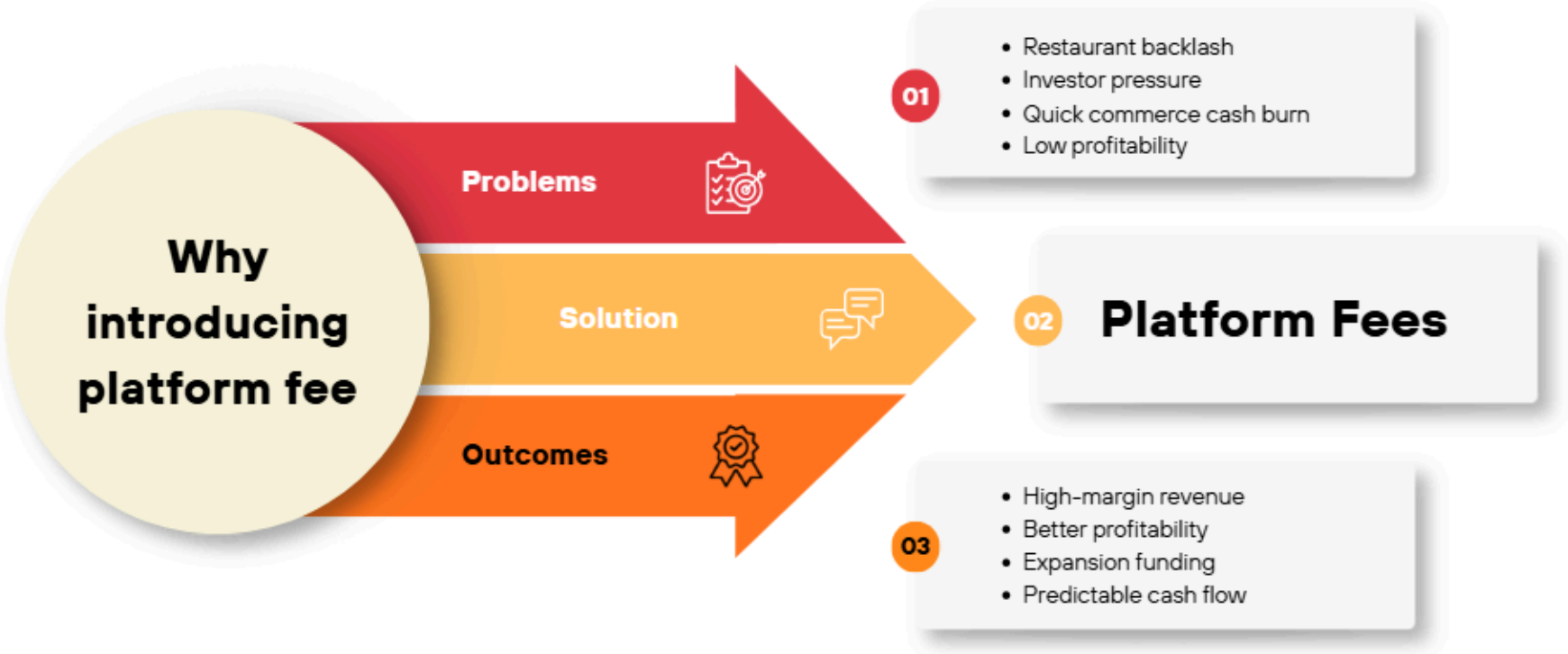
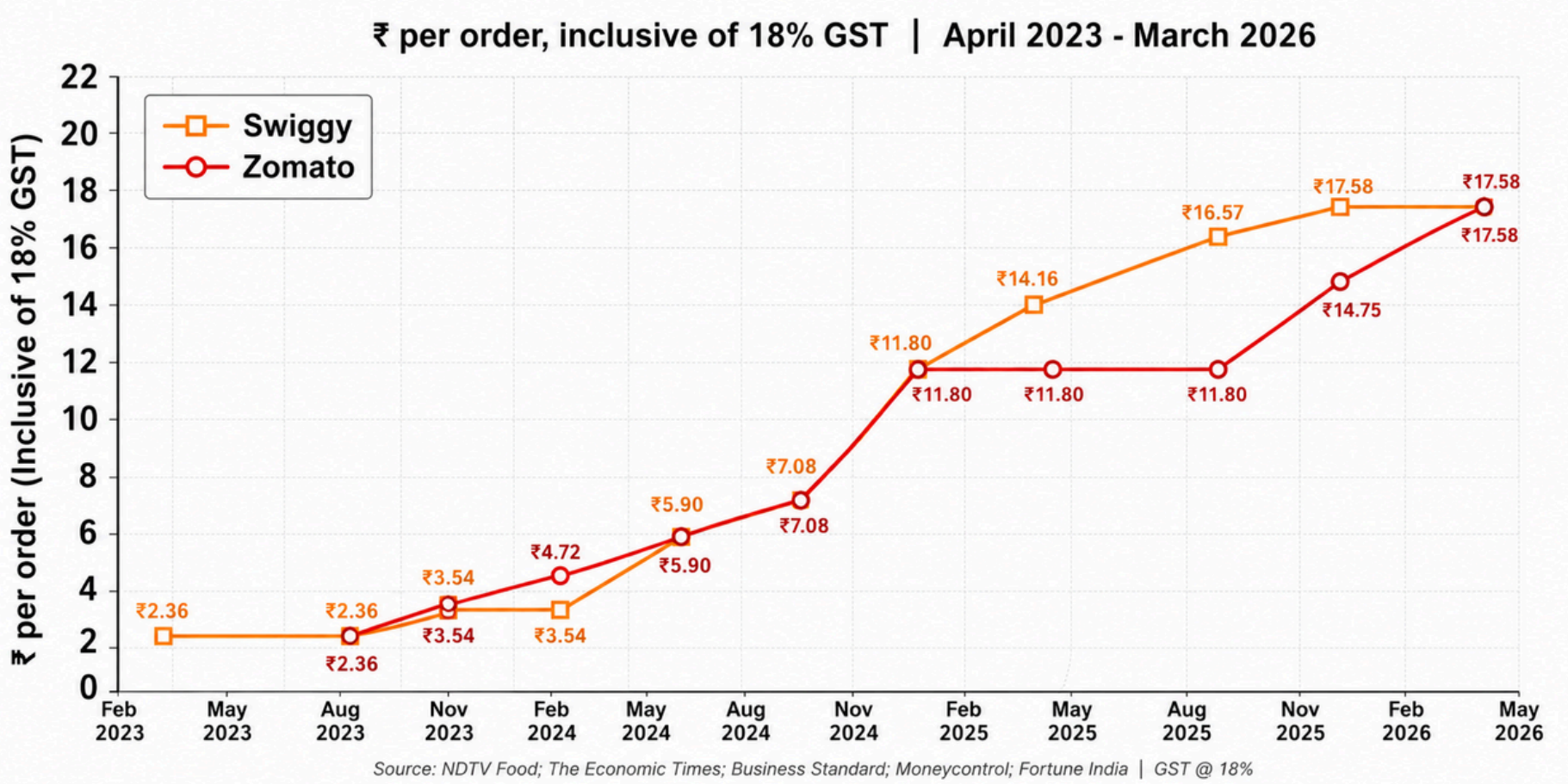
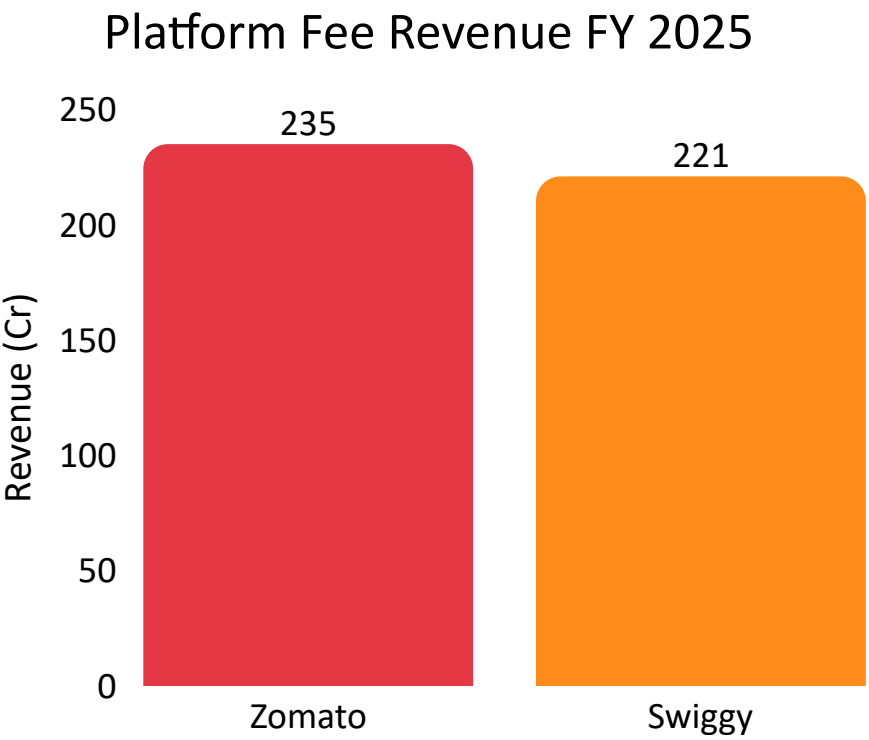


PRESENTED BY :
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EXECUTIVE SUMMARY



- In April 2023, Swiggy silently introduced a ₹2 "platform fee" on every food delivery order.
- Zomato followed four months later.
- By March 2026, both platforms charge ₹14.90 per order (₹17.58 incl. 18% GST) i.e a 645% increase in just 3 years approx.
- *This is the story of how a duopoly turned a tiny line item into a ₹2,000+ Cr/year revenue engine without adding a single new feature for consumers.*



MARKET CONTEXT — INDIA'S ONLINE FOOD DELIVERY LANDSCAPE

The market is massive, underpenetrated, and controlled by just two players — the perfect setup for pricing power.

- Market size (FY25): ~₹79,000 Cr (~\$9.1B), projected to reach \$27B+ by FY30 at a 19 - 23% CAGR
- Total food services market: ₹7 lakh Cr in FY25 → projected ₹11 - 12 lakh Cr by FY30

19-23%

CARG

\$27B

Projected FY30

Online food services penetration: Only ~11% of total food services

- Compared to 58 - 62% in the US
- 42 - 46% in China

Duopoly control: Zomato + Swiggy command ~95% market share

- Zomato market share: 55 - 58%
- Swiggy: 42 - 45%

11%



penetration of food market

2.5M

zomato

orders/day

2M

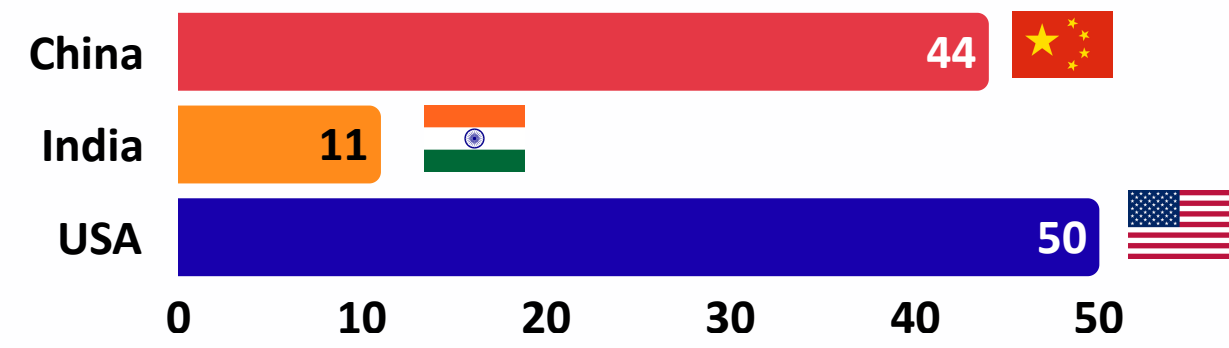
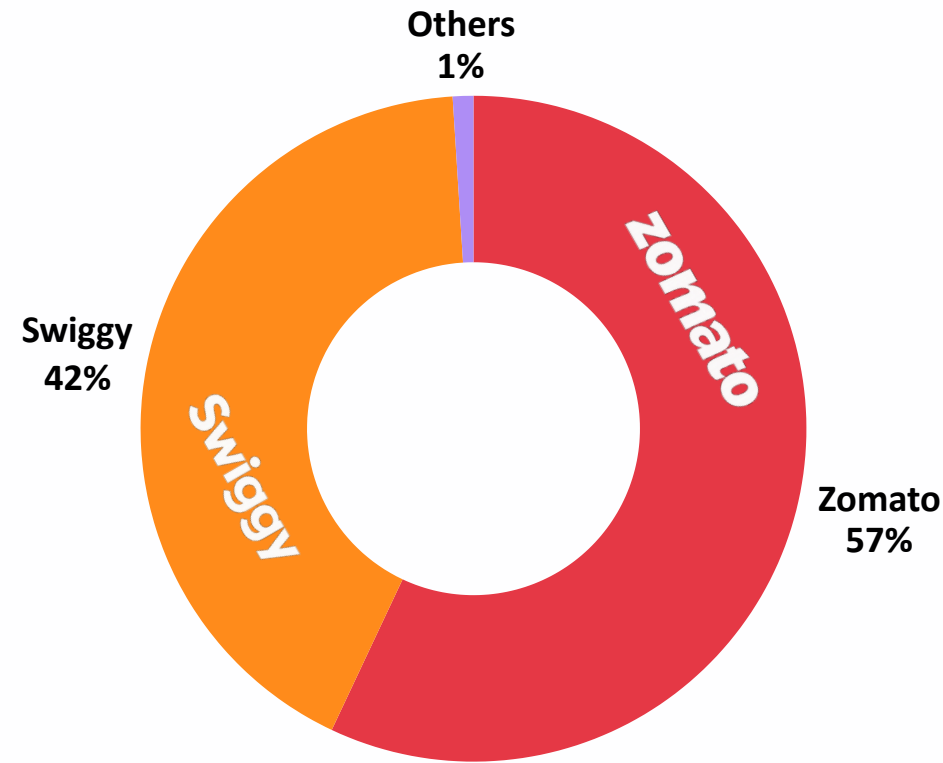
SWIGGY

orders/day

Combined daily orders: ~4.5 million+

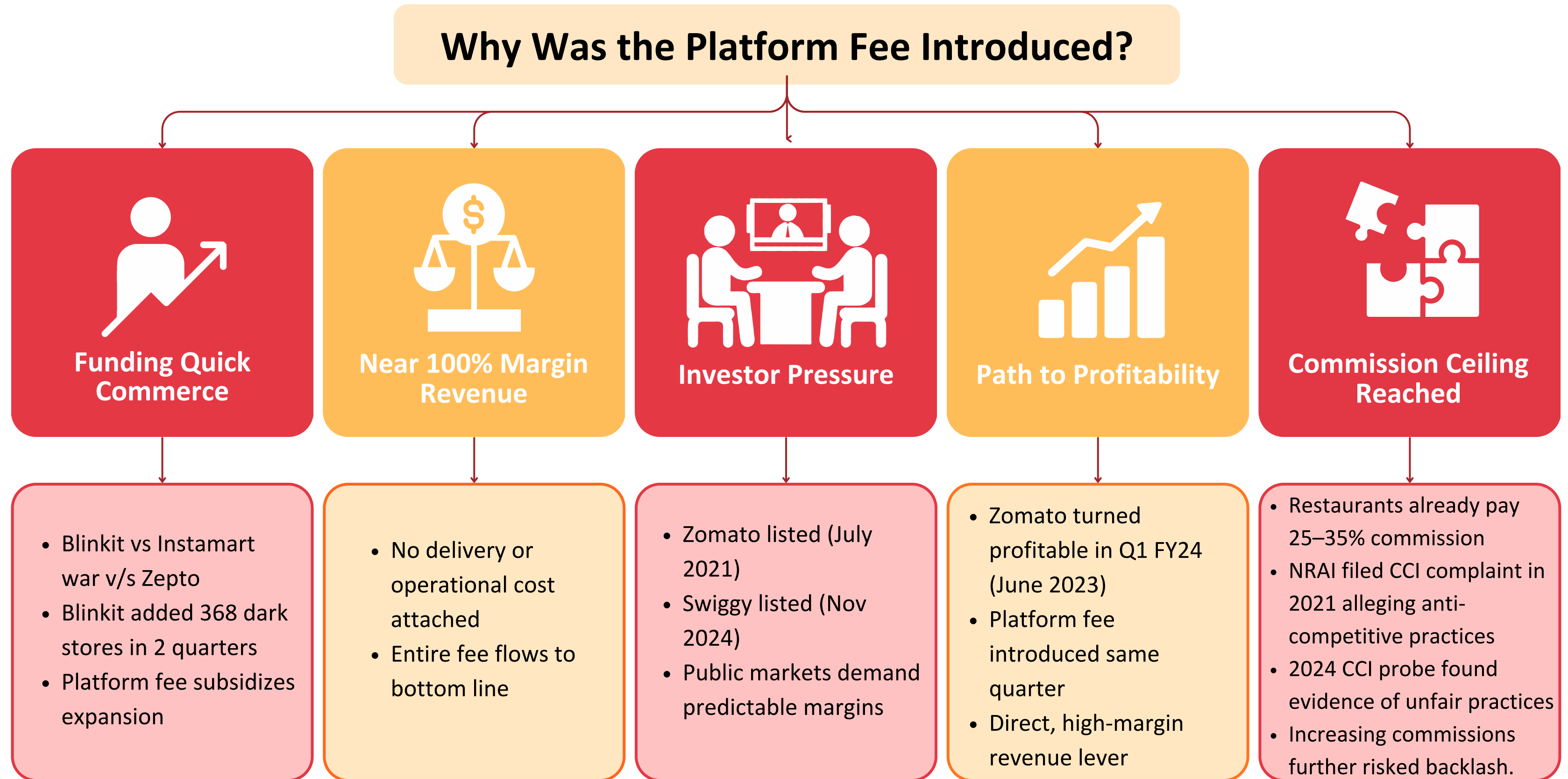
- Zomato: ~2.5M
- Swiggy: ~2M

Online Food Market Share



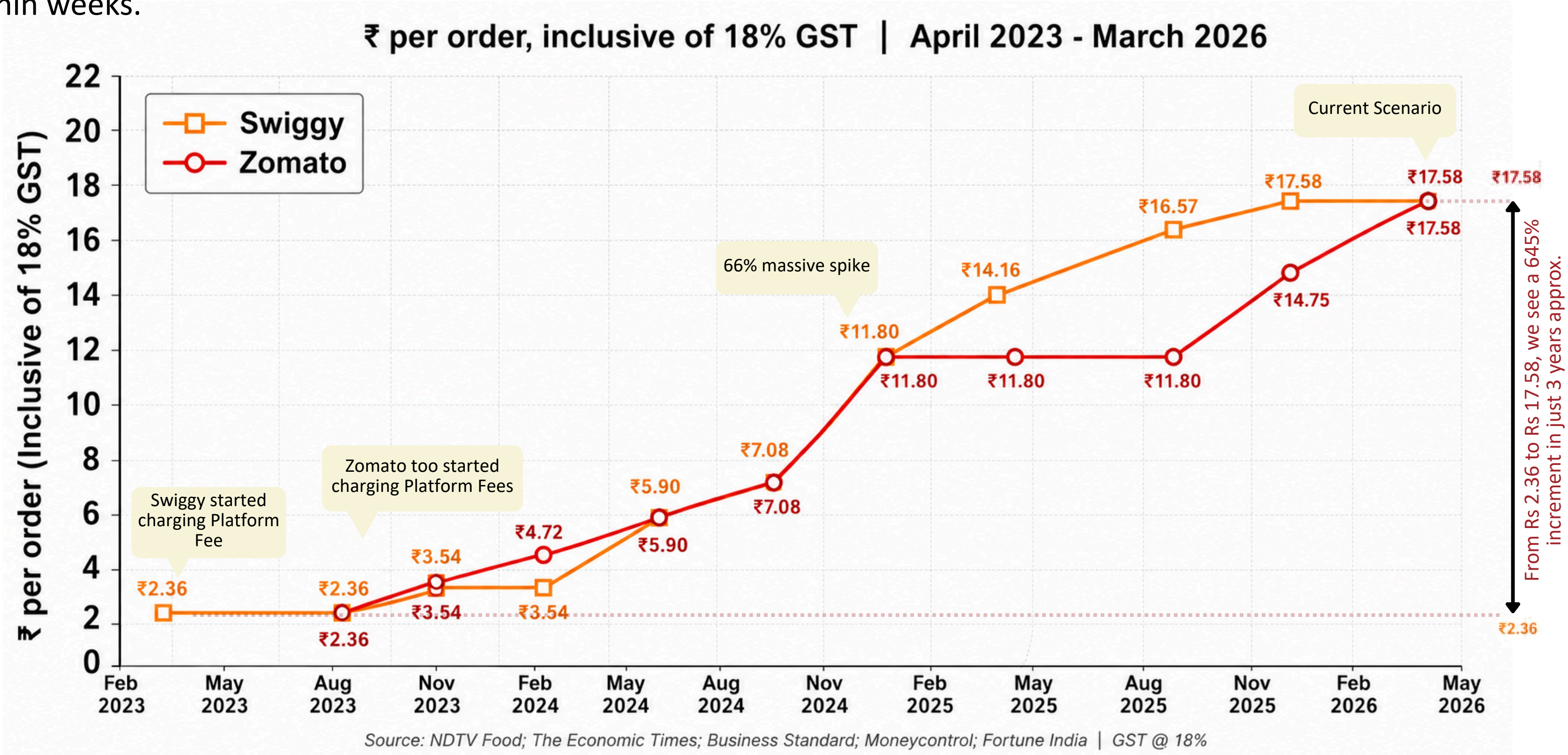
Sources: IMARC Group (Jan 2025), Renub Research (Feb 2026), Goodluck Capital (Apr 2026), Moneycontrol (Jun 2025), Investec

WHY WAS THE PLATFORM FEE INTRODUCED?



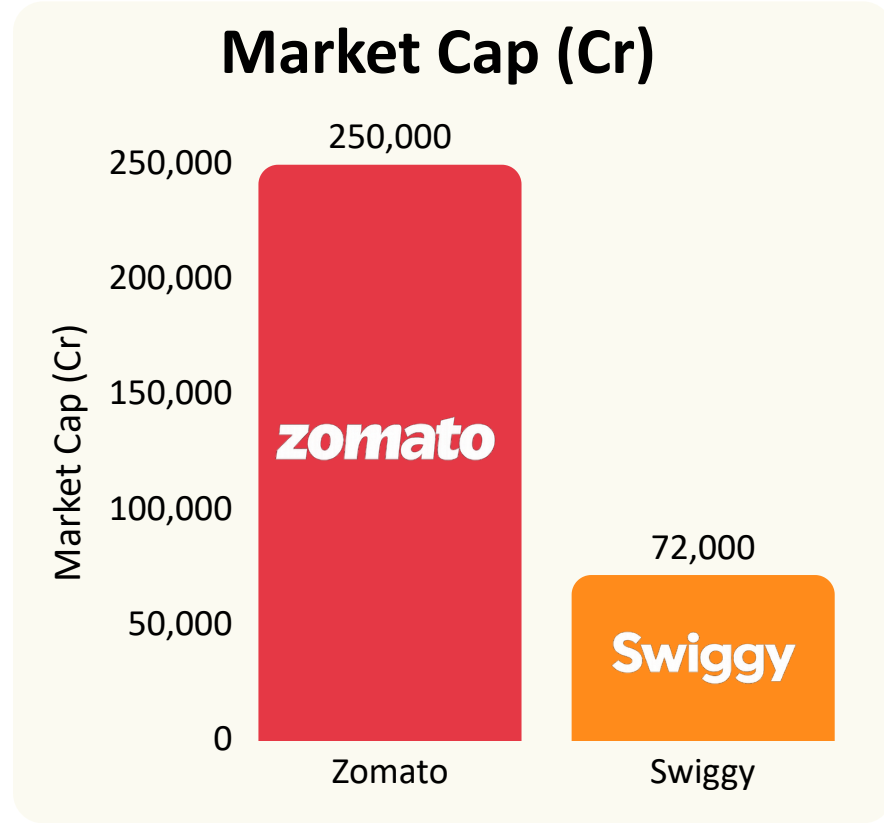
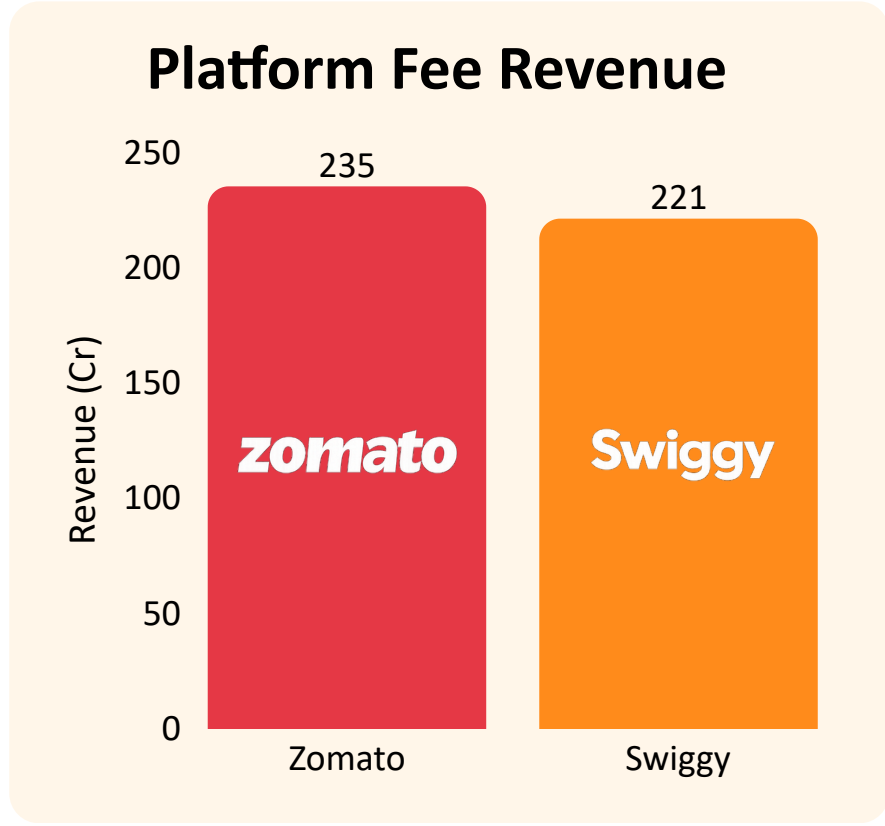
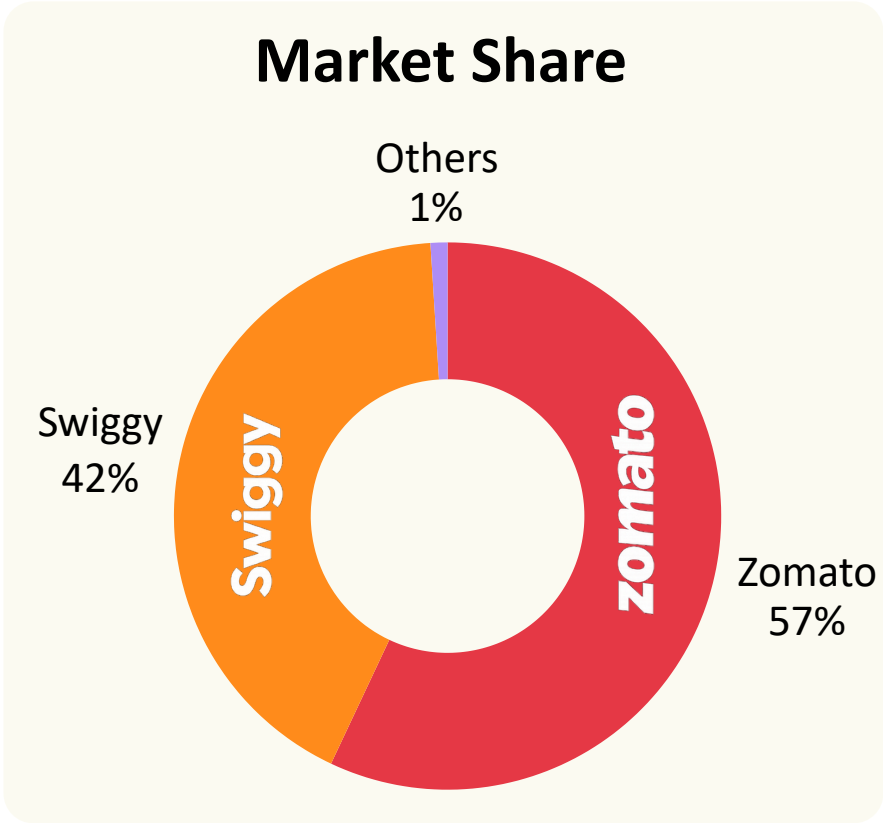
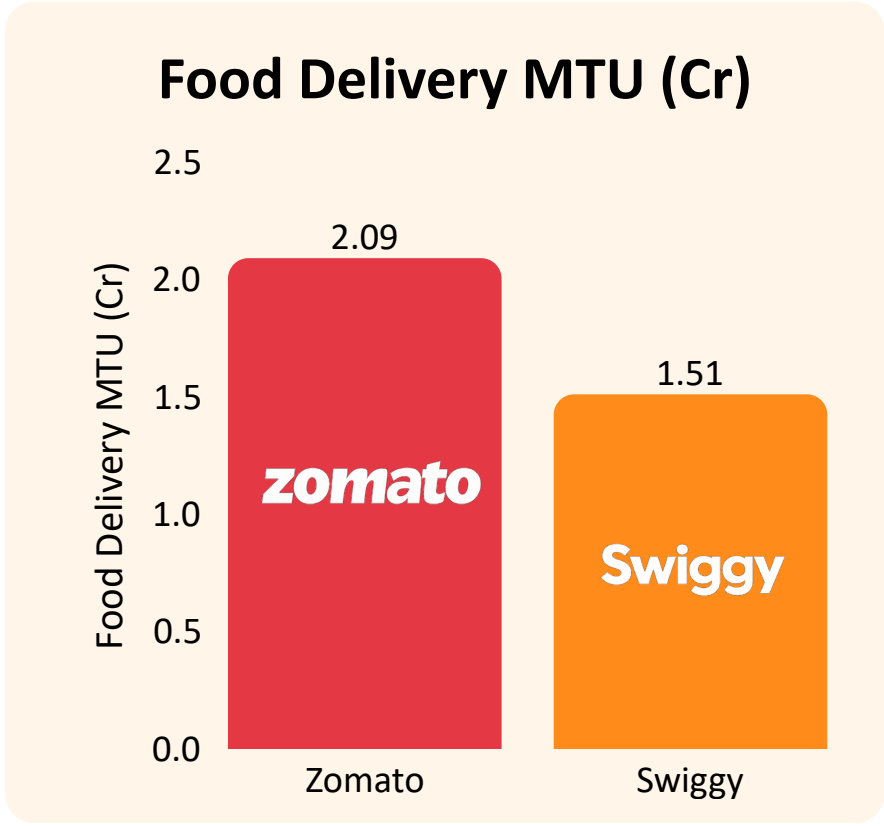
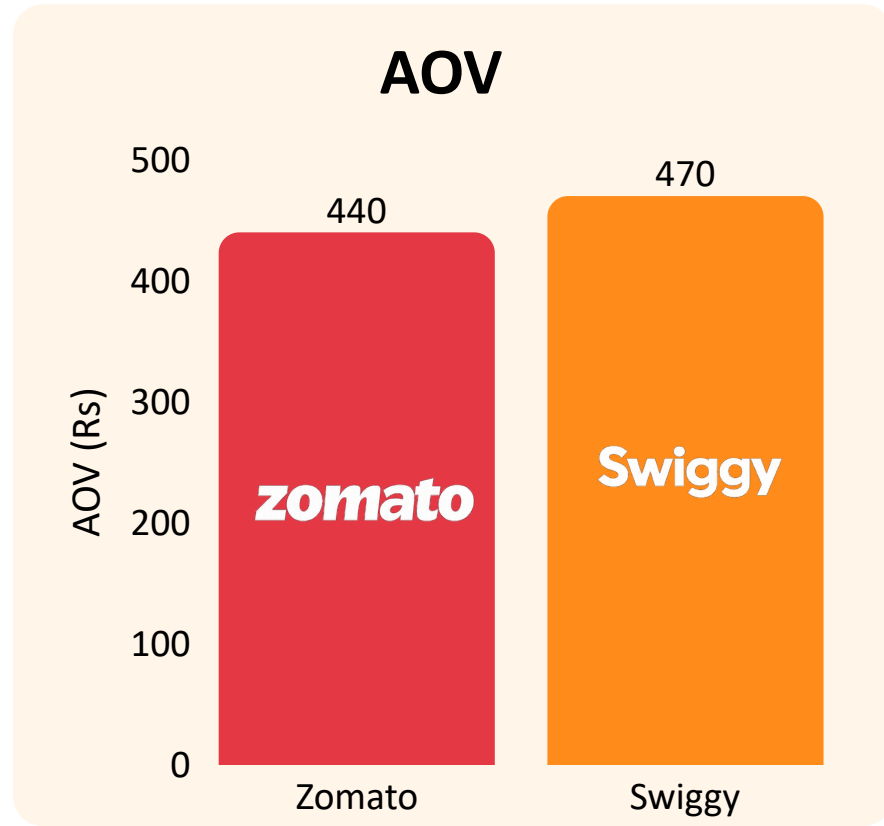
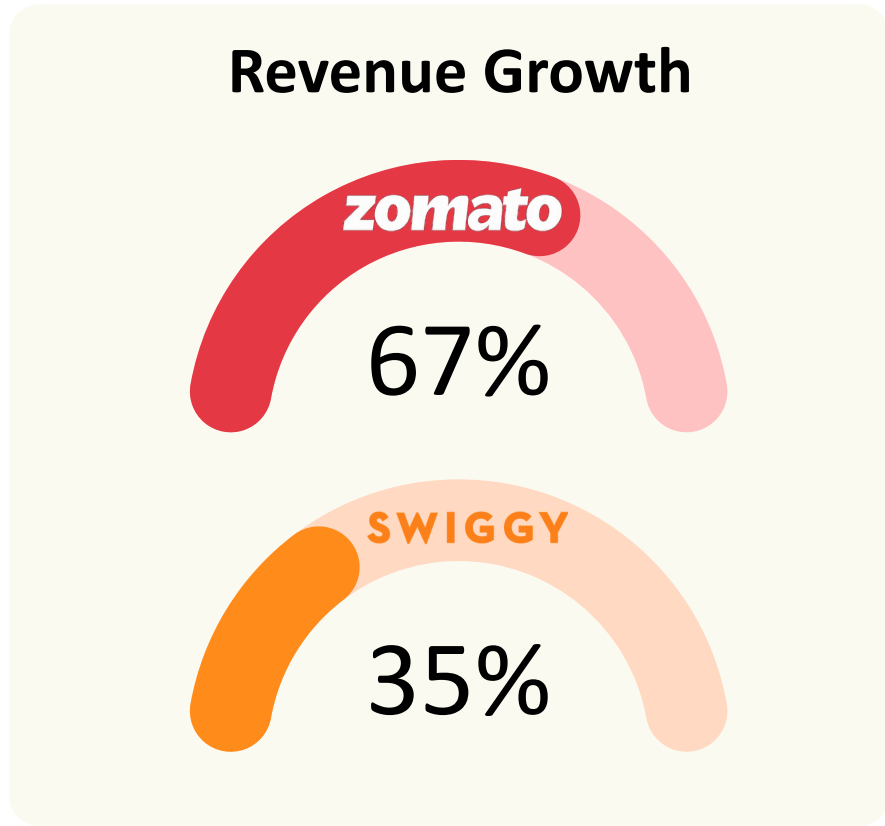
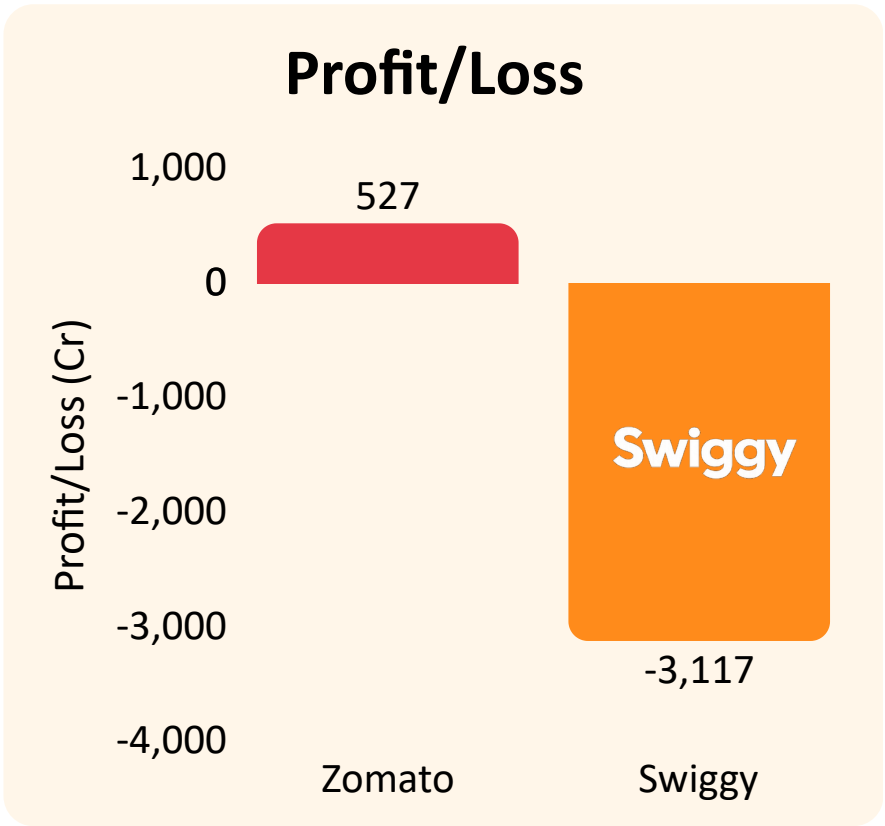
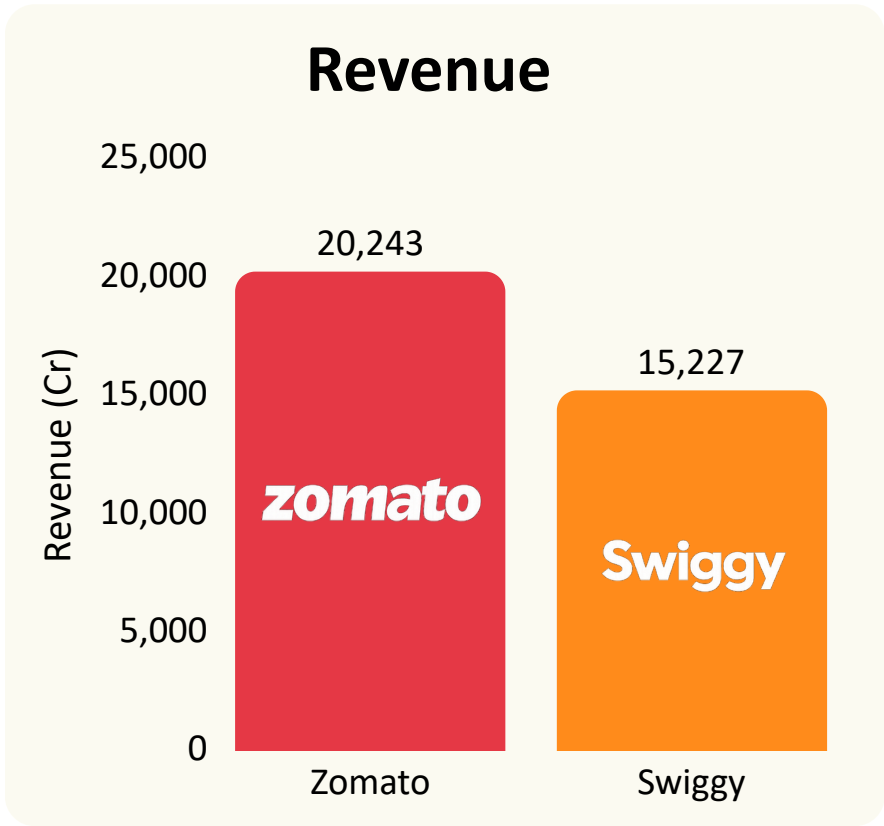
PLATFORM FEE TIMELINE (₹2 → ₹17.58)

Both platforms move in near-lockstep classic duopoly 99% Market share pricing discipline. One hikes, the other follows within weeks.



FINANCIAL SNAPSHOT (2025)

zomato leads across revenue, users, and profitability.



Sources: INDmoney, Entrackr, Macquarie, Company filings

REVENUE GUESSTIMATE — “₹1 = ₹1,000 CR RULE”



THE “BOILING FROG” STRATEGY

Small increases felt harmless individually, but became expensive collectively.



The strategy **relied less on sudden price shocks** and **more on behavioral adaptation** each increase felt insignificant, but together they fundamentally changed consumer spending habits.

Cost Breakdown of a ₹400 Order (Excluding taxes)	
Component	Amount
Food Value	₹400.00
Platform Fee	₹17.58
Delivery Fee	₹40.00
Surge Charges	₹10.00
Packaging	₹20.00
Restaurant Markup (sometimes restaurant	₹60.00
Total	₹547.58

We have taken average number after market research. This number may vary based on locations, restaurants etc.

If the actual dine-in meal costs: ₹400
You may end up paying: **Rs 547**
on delivery apps which 37% higher.

“It’s **just ₹1 more**”. A small platform fee hikes felt **insignificant to consumers** initially.

At **45 lakh+ daily orders**, even a ₹1 increase generates **~₹164 Cr annual revenue** impact.

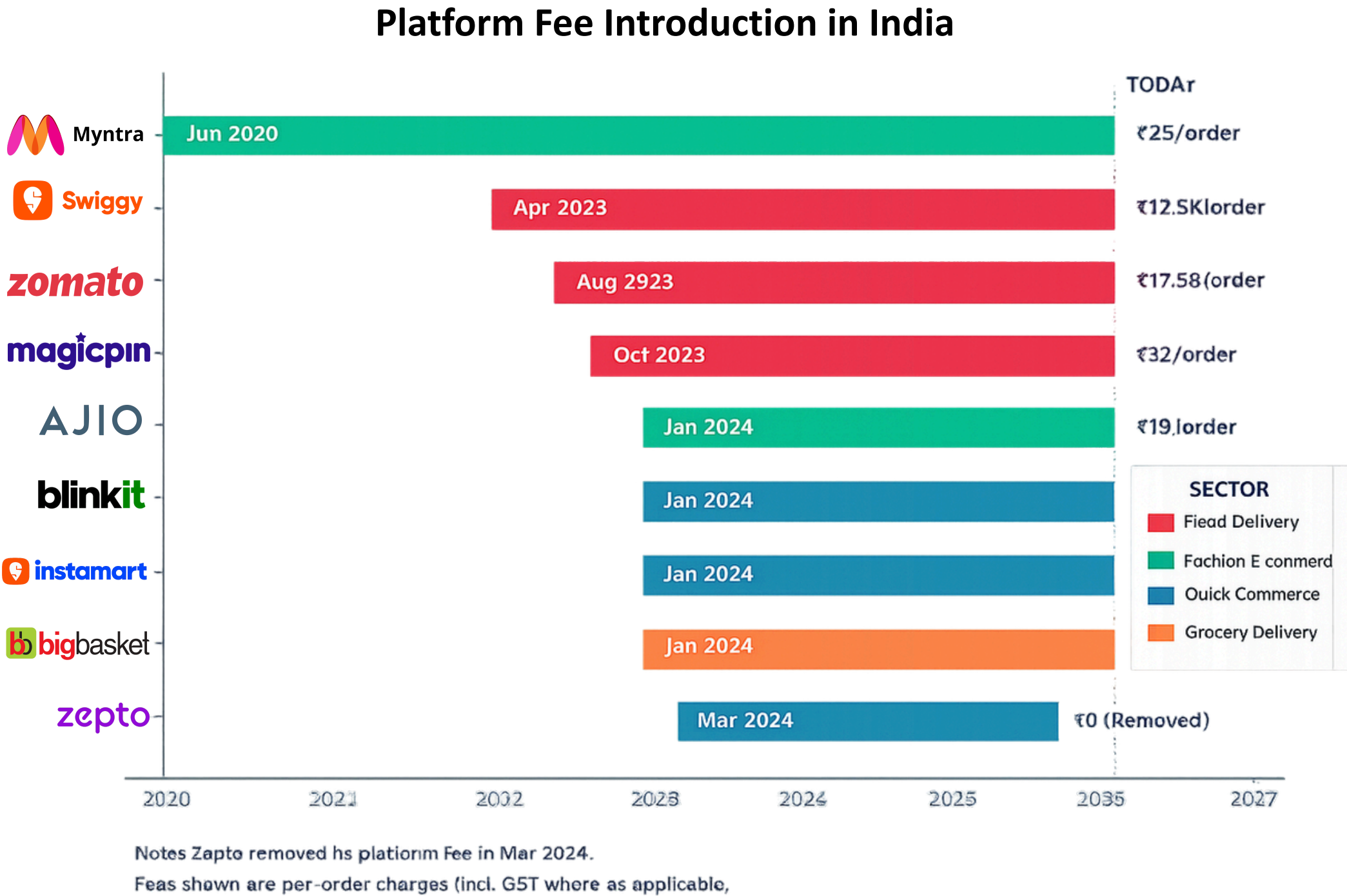
A **₹14.90 platform fee** now generates **~₹3.73 Cr/day** and **~₹1,360 Cr/year** for Zomato alone.

If platform fees reach **₹20/order**, **combined industry revenue** could cross **~₹3,200 Cr** annually at current order volumes.

SWIGGY & ZOMATO AREN'T ALONE: PLATFORM FEES ARE NOW INDUSTRY-WIDE

Platform, handling, and convenience fees are now common across multiple consumer internet sectors including food delivery, quick commerce, fashion, grocery, and beauty e-commerce.

Platform	Sector	When Started Charging	Current Fee (2026)
 Swiggy	Food Delivery	April 2023 (started at ₹2)	₹17.58/order (incl. GST)
 Zomato	Food Delivery	August 2023 (started at ₹2)	₹14.90/order + GST ≈ ₹17.58
 Myntra	Fashion E-commerce	June 2020 (₹49–149 on low-value orders initially)	₹25/order
 AJIO	Fashion E-commerce	~2024	₹19/order
 Zepto	Quick Commerce	March 2024 (started at ₹2)	₹20 (handling/platform fee removed as of Nov 2025)
 Blinkit	Quick Commerce	~2024	₹4/order (handling fee)
 Instamart	Quick Commerce	~2024	₹9.80/order (handling fee)
 Bigbasket	Grocery Delivery	~2024	₹15 (handling fee on small orders)



THE ROAD AHEAD: GROWTH, PRICING & CONSUMER TRUST



Revenue Growth vs Consumer Trust

Can platforms continue scaling monetization without weakening long-term customer trust and loyalty?



Profitability vs Ecosystem Health

Will higher margins come at the cost of affordability and restaurant ecosystem sustainability?



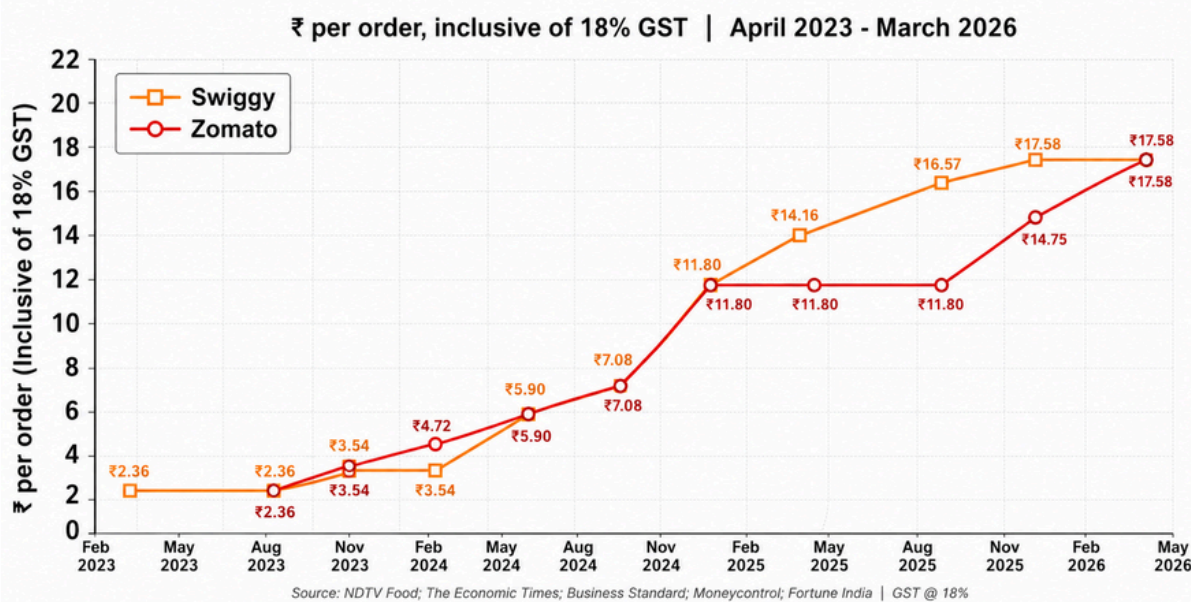
Convenience vs Consumer Resistance

How long will consumers continue absorbing rising delivery costs in exchange for convenience?



Growth vs Affordability

Can the next phase of food delivery growth be sustained without relying on aggressive fee increases?





THANK YOU!

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